

25STCV27270 25STCV27270

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-09-16

Motion: DEFENDANTS PAUL J. CARTER, ESQ. AND BERGKVIST BERGKVIST & CARTER, LLP's MOTION FOR AN ORDER TO SHOW RE: CONTEMPT

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Case Number: 25STCV27270 Hearing Date: September 16, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

DAVID A. ROMERO, an Individual; DOS

POTRILLOS LLC., a California Limited Liability Company, DAVID A. ROMERO,

TRUSTEE OF THE LAGUNA SECA LIVING TRUST,

Plaintiffs,

vs.

RJS FINANCIAL INC., a California Corporation; RJS FINANCIAL,

a California Corporation; MATTHEW GARRETT GROSS, an Individual; BRET L.

McCLURE, Esq.; FRANDZEL ROBINSBLOOM & CSATO, L.C.; PAUL J. CARTER, Esq.;

BERGKVIST BERGKVIST & CARTER, LLP; and Does 1-50 Inclusive,

Defendants.

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CASE NO.: 25STCV27270

[TENTATIVE] ORDER RE:

DEFENDANTS PAUL J. CARTER, ESQ. AND
BERGKVIST BERGKVIST & CARTER, LLP's MOTION FOR AN ORDER TO SHOW RE:
CONTEMPT

Dept. 733

8:30 a.m.

September 16, 2026

I.

INTRODUCTION

On September 17,
2025, Plaintiff David A. Romero ("Romero") Dos Potrillos LLC

("Potrillos") and David A. Romero,
as trustee of the Laguna Seca Living Trust ("the Trust") (collectively,
"Plaintiffs") filed a complaint against Defendants RJS Financial Inc. ("RJSI"),
RJS Financial, a California Corporation ("RJS"), Matthew Garrett Gross
("Gross"), Bret L. McClure, Esq. ("McClure"), Frandzel Robins Bloom &

Csato, L.C. ("FRBC"), Paul J. Carter, Esq. ("Carter"), and Bergkvist Bergkvist & Carter, LLP ("BBC") (collectively, "Defendants").

On

January 5, 2026, Plaintiff added Michael Gross as DOE 1.

The Complaint

alleges the following causes of action: (1) Fraud and Deceit (2) Violation of Usury Laws (3) Conspiracy to Defraud (4) Breach of Contract (5) Breach of the Covenant of Good Faith and Fair Dealing (6) Financial Elder Abuse (7) Professional Negligence (8) Breach of Fiduciary Duties (9) Quiet Title Action (10) Wrongful foreclosure (11) Abuse of Process and (12) Intentional Interference with Prospective Economic Advantage.

Plaintiffs allege

the following. Plaintiff, David A. Romero, is a 70-year-old retired immigrant. Romero owned and had a right to possession to three properties (1) an apartment building, located at 329 West Magnolia Street, Compton, CA 90220, APN 6157-017-036 ("Magnolia Property"), (2) an apartment building located at 534-536 E. 19th St., Long Beach, CA 90806, APN 7209-005-010 ("Long Beach Property"). (3) a vacant lot located at 902 Nicholson Avenue, Wilmington, CA 90744 CA 90220; APN: 7429-007-009, 7429-007-010, 7429-007-017, 7429-007-020, 7429-007-021. ("Nicholson Property"). (Compl., ¶ 11.)

On June 19, 2019,

Romero, as a member of Potrillos, executed a promissory note for the sum of \$2.1 million in favor of RJSI, claiming to be a California Corporation." The interest's rate was set at 11.99%. The default rate was set at 16.99% ("Loan"). (Id. ¶ 13, Ex. A.) The Loan was secured by the Magnolia and Long Beach Properties. Later, RJSI claimed that the Loan was also secured by the Nicholson Property. (Id. ¶ 14.) Plaintiffs contend that the Loan was usurious.

The Nicholson

Property is a vacant lot that Romero leased to a trucking company for \$12,000 a month. This was Romero sole income, except for his Social Security checks. From the onset, Gross knew that, based on Romero monthly income of \$12,000, he will not be able to make the monthly interest payments of \$20,982.50, as required by the promissory note. (Id. ¶ 16.)

While the Loan was for \$2.1 million, Plaintiffs received only \$1.511 million. The deductions of \$589,000, which included a payment of \$63,000.00 fees to RJSI, the Lender, raised the interest rate to about 40% per annum. (Id. ¶ 17, Ex. B [Escrow Disbursement Sheet].)

Plaintiffs then used the \$1.5 million to purchase the Magnolia Property, a “fixer upper.” Out of the \$2.1 million loan, the amount of \$298,000 was allocated for the rehab of the Magnolia Property. To complete the rehab, Romero invested another \$150,000 of his own money, for a total of about \$450,000. (Id. ¶ 18.)

After the completion of the rehab, the offices of the Los Angeles County were closed due to Covid-19. As a result, Romero was unable to obtain the City Permit of Occupancy. After exhausting the six-month interest reserve of \$125,895.00, and Romero making about \$100,000 payments on interest, RJSI declared a default. (Id. ¶ 19.)

On November 16, 2020, RJSI filed a Complaint against Plaintiffs for (1) Quiet Title; and (2) Declaratory Relief, Case No. 20STCV43490 (“Quiet Title Action”). On July 23, 2020, RJSI's trustee, PLM Loan Management Services, Inc. (“PLM”), recorded three Notices of Default and Election to Sell (1) the Magnolia, (2) Long Beach, and the Nicholson Properties, seeking \$81,327.95 in interest as of July 21, 2020.

On June 17, 2021, RJSI foreclosed on the Magnolia Property, bidding \$1.5 million. (Id. ¶ 23, Ex. E [trustee's deed upon sale of the Magnolia Property].) Prior to the foreclosure sale of the Magnolia property, Romero invested \$450,000 to rehab the Property, obtained a Certificate of Occupation and few apartments were rented out. At that time, the property was worth about \$3 million, but RJSI bid only \$1.5 million, the same price Romeo paid when the building was a “fixer wrapper” and before Romero Invested \$450,000 to rehab the Building. (Id. ¶ 24.)

At the same auction, of June 17, 2021, RJSI also foreclosed on the Long Beach Property, bidding \$635,000. (Id. ¶ 25, Ex. F [trustee's deed upon sale of the Long Beach Property].) RJSI sold the Long Beach Property for \$873,000. (Id. ¶ 27,

Ex. G [Grant Deed and a profile of the sale of the Long Beach Property].)

Given that

Plaintiffs contend that the initial Loan was usurious, Plaintiffs assert that they were no longer liable to pay interest. Thus, Plaintiffs contend, that the Loan was already paid in full following the sale of the Magnolia Property. Plaintiffs assert that following the foreclosures of the Properties, RJSI actually owed Plaintiffs \$724,000.

Then Plaintiffs

allege that on or about March 2024, Defendants McClure and Gross entered into a conspiracy with Carter, Plaintiffs' attorney in the Quiet Title Action, to extort another \$900,000 from Plaintiff, while RJSI owed Plaintiffs money. Defendants staged a mediation to have Romero agree to pay \$900,000. The mediation was a prelude to foreclosing on the Nicholson Property. (Id. ¶ 30.)

On April 15, 2024,

Romero participated in a Zoom Mediation. Defendants, Gross and McClure, claimed that Potrillos owed RJSI \$1,098,254.08, but RJSI was willing to accept \$900,000 in a settlement. (Id. ¶ 32.) Nevertheless, Carter pressured Romero to accept the settlement, otherwise, he will lose his "Nicholson Property," worth about \$2.5 million. (Ibid.)

On April 16, 2021,

the next day after the mediation, Carter called Romero to come to his office to sign the agreement to pay RJSI \$900,000. Romero informed Carter he was rejecting RJSI's offer as fraudulent and will not sign any document. The same day, without Romero knowledge or consent, Carter dismissed the cross-complaint in the Quiet Title Action and withdrew the opposition to RJSI's motion for summary judgment. (Id. ¶¶ 33-34.) The Court in the Quiet Title Action entered judgment for RJSI and against Plaintiffs. (Id. ¶ 36, Ex. K.)

On June 7, 2024,

after Carter was in possession of the judgment, he mailed a letter to Romero, which included RJSI's Proposed Settlement Agreement ("PSA"). (Id. ¶ 37, Ex. L.) The PSA required payments of \$435,136.92 ("Principal Balance"); \$146,798.86 ("Accrued Interest") as of April 8, 2024; \$516,318.30 "Fees and other charges ("Other Sums")." for total of

\$1,098,254.08 (Id. ¶ 38.)

RJS ignored the judgment and had PLM record a Notice of Default and Election to Sell Under a Deed of Trust the Nicholson Property, setting the amount owed at \$224,398.42. (Id. ¶ 39, Ex. M [notice of default].) On March 12, 2025, PLM recorded a Notice of Trustee's Sale, setting the amount owed at \$1.324 million. (Id. ¶ 41.) On May 30, 2025, RJSI, as the sole bidder at the foreclosure sale of the Nicholson Property, bid \$925,000. (Id. ¶ 48.)

Plaintiffs allege that, at the time of the making of the Loan, neither RJS nor RJSI was licensed as a lender. As a result, the promissory note, Deed of Trust and all the documents, related to the Loan should be declared unenforceable and void ab initio. (Id. ¶ 48.)

On August 27, 2026, the Court granted FRBC, McClure, RJS, RJSI and Gross' anti-SLAPP motion.

On August 11, 2026, Carter and BBC ("Carter Defendants") filed the instant motion for an order to show cause for contempt.

Given that the hearing for this motion was scheduled for September 16, 2026, any opposition was to be filed with the Court at least nine court days before this date. (Code Civ. Proc., § 1005(b).) Nine court days before this date was September 2, 2026, given that Monday, September 7, 2026 was Labor Day, a court holiday. Plaintiffs did not file their opposition until Friday, September 11, 2026. While Carter Defendants filed a reply on September 9, 2026, they did so upon the assumption that Plaintiffs did not file an opposition. Plaintiffs' late opposition thus does not allow Carter Defendants a sufficient opportunity to respond. For these reasons, the Court in its discretion, will not consider the late filing. (Cal. Rules of Court Rule 3.1300(d).)

II.

LEGAL STANDARD

"The contempt power is a court's ultimate weapon. [Citation.] In the first case by the California

Supreme Court to consider the contempt power, the Court cautioned that the power to adjudicate direct contempt is necessarily arbitrary and should be used with great prudence, the judge bearing in mind that the exercise of that power is not so much to vindicate the judge's character as to promote the respect due the administration of the laws. [Citation.] The enforcement of an order of contempt in this state is not for the vindication of a private right but is for the maintenance of the dignity and authority of the court, and to preserve the peace and dignity of the people of the State of California. [Citation.]" (McCann v. Municipal Court (1990) 221 Cal.App.3d 527, 536-537 (McCann), internal citations and quotation marks omitted.) "Contempt is generally a summary procedure designed to protect the dignity of the court in the exercise of its jurisdiction." (In re Nolan W. (2009) 45 Cal.4th 1217, 1231.)

"When a contempt is committed in the immediate view and presence of the court, or of the judge at chambers, it may be punished summarily; for which an order must be made, reciting the facts as occurring in such immediate view and presence, adjudging that the person proceeded against is thereby guilty of a contempt, and that he or she be punished as therein prescribed." (Code Civ. Proc., § 1211, subd. (a).) To hold a person in contempt for actions "committed in the immediate view and presence of the court, "[a]ll that is required is that an order be made reciting the facts, adjudging the person guilty, and prescribing the punishment. [Citations.] Despite the power to treat direct contempt summarily, however, it is common practice to defer adjudication of contempt for courtroom misconduct to the conclusion of a pending trial unless prompt punishment is imperative. In such case, due process considerations require notice and a hearing with the opportunity to be heard." (McCann, supra, (1990) 221 Cal.App.3d at p. 538.)

"When the contempt is not committed in the immediate view and presence of the court, or of the judge at chambers, [i.e., "indirect contempt"] an affidavit shall be presented to the court or judge of the facts constituting the contempt, or a statement of the facts by the referees or arbitrators, or other judicial officers." (Code Civ. Proc., § 1211, subd. (a).) "The facts supporting indirect contempt arise outside the judge's presence, requiring a more elaborate procedure to notify the person charged and to afford an opportunity to be

heard. ... A common example is a party's disobedience of a judge's order." (In re M.R. (2013) 220 Cal.App.4th 49, 57, internal citations and quotation marks omitted; italics in original.) "The affidavit requirement can be satisfied with a declaration under penalty of perjury. [Citation.] The filing of the affidavit (or declaration) is a jurisdictional prerequisite to a contempt proceeding. [Citations.] It is, in effect, a complaint, which frames the issues before the court. [Citations.]. Without an initiating affidavit, a contempt order is void. [Citations.] The facts supporting indirect contempt require a more elaborate procedure to notify the person charged and to afford an opportunity to be heard." (Cal. Judges Benchbook Civ. Proc. Trial § 17.34, internal citations omitted.)

"If the judge is satisfied with the sufficiency of the affidavit, the next step is for the judge to issue an order to show cause (OSC) re contempt that is directed to the accused, in which the date and time for a hearing are specified. See CCP § 1212; [citation]. As an alternative to an OSC, a warrant of attachment may be issued to bring the person charged to answer, although this is rare. See CCP § 1212. The OSC must be served in the same manner as a summons." (Cal. Judges Benchbook Civ. Proc. Trial § 17.34, some internal citations omitted.) Importantly, "[d]ue process considerations apply to an indirect contempt proceeding, which is criminal in nature." (Moore v. Superior Court (2020) 57 Cal.App.5th 441, 456 (Moore).) "The issuance of the order to show cause commences a separate action on the contempt charges. [Citation.] The accused is entitled to a full and fair hearing that satisfies due process. (In re M.R. (2013) 220 Cal.App.4th 49, 58, internal citations omitted.)

"Due process requires notice of the specific charges at issue in the contempt proceeding. [Citation.] The OSC must give the accused notice if there are multiple distinct counts of contempt. [Citation.] The OSC is not required, however, to cite the specific subsection of CCP § 1209(a) that has been violated to pass constitutional muster. [Moore, at p. 457] (individual charged with contempt admitted at contempt trial his understanding of conduct for which he was being held to account and conducted his defense in conformity with that awareness; court rejected his contention that he would have conducted his defense

differently if charging documents had been more artfully drawn).”

(Cal. Judges Benchbook Civ. Proc. Trial § 17.34, certain internal citations omitted.) ۷۷۷

III.

JUDICIAL NOTICE

Carter Defendants

request the Court to take judicial notice of the following pursuant to

Evidence Code §§ 451, 452 and 453:

1.

Complaint filed in the Los Angeles

Superior Court, Los Angeles County, Case No. 20STCV43490, entitled RJS Financial, Inc. v. Dos Potrillos et al., dated November 12, 2020

2.

Court Order Disqualifying Attorney Nick

Alden as counsel of record for the Romero defendants in the underlying quiet title action, Case No. 20STCV43490, dated November 5, 2021

3.

First Amended Cross-Complaint filed in

Case No. 20STCV43490 by Attorney Nick Alden on behalf of the Romero Cross-complainants, dated November 19, 2021

4.

Appellate Court Order (Case No. B316465)

affirming the lower court’s order disqualifying attorney Nick Alden as counsel for the Romero Defendants in Case No. 20STCV43490, dated August 23, 2022

5.

Beverly Hills Real Estate Investment, LLC

– Articles of Organization Registration, filed January 22, 2022

6.

Notice of Ruling and Court’s Minute Order

granting RJS’ Motion for Summary Judgment, Case No. 20STCV43490, dated February 22, 2024

7.

Executed settlement agreement reached at mediation in the underlying quiet title action, dated April 15, 2024

8.

Ex Parte Application of attorney Nick

Alden in the quiet title action, Case No. 20STCV43490, seeking to intervene into the case on behalf of his company, Beverly Hills Real Estate Investment LLC, served on the Carter Defendants on April 16, 2024 at 8:47 a.m

9.

Ex Parte Application filed by Attorney

Nick Alden to intervene in the quiet title action, Case No. 20STCV43490, on behalf of his company, Beverly Hills Real Estate Investment LLC, dated May 20, 2024

10. Minute

Order Denying Alden's Ex Parte Application to Intervene in the quiet title action, Case No. 20STCV43490, on behalf of his company – Beverly Hills Real Estate Investment LLC, dated May 22, 2024

11. Court

Order granting RJS' Motion for Summary Adjudication in the underlying quiet title action, Case No. 20STCV43490, dated May 29, 2024

12. Appellate

Court Order granting RJS' Motion to Dismiss the Romeros' appeal of the lower court's Order granting RJS' Motion for Summary Adjudication, Appellate Case No. B339869, dated September 9, 2024

13. Petition

to File Complaint Against RJS, its counsel, and the Carter Defendants for Civil Conspiracy, Case No. 24STCP03684, dated November 13, 2024

14. Court

Order Granting Petition based on inapplicability of CCP § 1714.10, Case No. 24STCP03684, dated August 12, 2025

15. Petition

Court Order disqualifying attorney Nick Alden as counsel of record for David A. Romero, individually and as Trustee of the Laguna Seca Living Trust, and Dos Potrillos, LLC, Case No. 24STCP03684

16. Complaint

filed in Los Angeles Superior Court, Case No. 25STCV27270 by Attorney Nick Alden on behalf of Plaintiffs David A. Romero, Dos Potrillos LLC, and David A. Romero, as Trustee of the Laguna Seca Living Trust, dated September 17, 2025

17. Romeros'

Second Amended Cross-Complaint filed in the quiet title action, Case No. 20STCV43490, on April 12, 202

18. Romeros'

Third Amended Cross-Complaint filed in the quiet title action, Case No. 20STCV43490, on February 8, 2024

19. Alden's

Objections and Responses to the Declaration of Kristina Ross in support of RJS' Anti-SLAPP motion, filed in Case No. 25STCV27270, on July 10, 2026

20. Petition

Court Order granting RJS' Motion to Expunge Lis Pendens Recorded by Nick Alden, Case No.: 24STCP03684, dated March 17, 2026

"Taking judicial

notice of a document

is not the same as accepting the truth

of its contents or accepting a particular

interpretation of its meaning." (Joslin v. H.A.S. Ins. Brokerage

(1986) 184 Cal.App.3d 369, 374.) "When judicial

notice is taken of a document, ... the truthfulness and proper

interpretation of the document are

disputable." (StorMedia, Inc. v. Superior Court (1999) 20 Cal.4th

449, 457, fn. 9.) Additionally, "A court may take judicial notice of

something that cannot reasonably be controverted, even if it negates an express

allegation of the pleading." (Poseidon Dev., Inc. v. Woodland Lane Ests.,

LLC (2007) 152 Cal.App.4th 1106, 1117 [judicial notice is proper when the

parties dispute only the legal effect of a document, not its existence]; Herrera v. Deutsche Bank Nat'l

Tr. Co. (2011) 196 Cal.App.4th 1366, 1375 ["While courts

take judicial notice
of public records, they do not take notice of the truth
of matters stated therein. (Citation.)"].)

The Court grants
judicial notice as to the existence of such documents, but not to the truth of
the matter asserted in them.

IV.

DISCUSSION

Carter Defendants

move for an order (1) Enforcing the Petition Court's July 11, 2025 order
disqualifying attorney Nick A. Alden and the Law Offices of Nick A. Alden as
Plaintiffs' counsel in this action, pursuant to Code of Civil Procedure §
1209(a)(5), as the Complaint filed in this action is a direct continuation of
the prior Petition action; (2) To Show Cause why Nick A. Alden and the Law
Offices of Nick A. Alden should not be held in contempt of court under Code of
Civil Procedure § 1209(a)(4) and (5) for his willful disobedience of the prior
lawful court orders disqualifying him as counsel for the Romero Plaintiffs; (3)
To Show Cause why monetary sanctions should not be imposed against Nick A.
Alden and the Law Offices of Nick A. Alden, pursuant to Code of Civil Procedure
§ 1218 and § 177.5 for Alden's ongoing and intentional violation of three
lawful court orders, without good cause or substantial justification, including
payment of the reasonable attorney's fees and costs incurred in bringing and arguing
this motion and statutory fees in accordance with section 177.5; and (4) That
Alden be reported to the State Bar for disciplinary action for his willful and
contemptuous disobedience of the prior lawful court orders disqualifying him as
counsel of record for the Romeros related to the subject matter at issue in
this case, without good cause or substantial justification.

Carter Defendants

move for this relief on the grounds that Alden has been previously disqualified
as counsel for Plaintiffs in the prior Petition Action and the instant action
is a mere continuation of that proceeding and arises from the same conduct
related to the same underlying dispute at issue herein and involves the same
parties (and their attorneys). Additionally, Carter Defendants provide that Alden
was previously disqualified as counsel for the Romero Plaintiffs by the
underlying Quiet Title court, which was affirmed by the Appellate Court, Second
District.

i.

Quiet Title Action

On November 12, 2020, RJSI filed a quiet title action against Potrillos, Romero and The Trust (LASC Case No. 20STCV43490) seeking to establish the enforceability of a mortgage and for quiet title of The Nicholson Property ("Quiet Title Action"). (Millea Decl., 5, RJN, Ex. 1.)

On August 3, 2021, RJSI's in-house counsel Richard D. Marks ("Marks") inadvertently forwarded to Alden a privileged email authored by Defendant McClure. Within two hours, Marks sent a follow-up email identifying the inadvertent disclosure, explaining the email was privileged, and demanding Alden delete it and refrain from reading or using it. (Millea Decl., ¶ 6.) But Alden refused. He not only read the privileged email and retained it but, thereafter, he repeatedly used, disseminated and relied on its contents by attaching and quoting from it in multiple court filings and even went so far as to read from it in open court during a September 30, 2021 hearing. (Id. ¶ 7.)

On November 5, 2021, the Quiet Title court granted RJSI' motion disqualifying Alden. (Id. ¶ 9, RJN, Ex. 2.) The Quiet Title court stated:

The email stated that Mr. McClure had reviewed the docket in this case and was not impressed with Mr. Marks's work, since a series of filings had been rejected over a time span of six months. Mr. McClure conveyed his impression of the legal risks to which he feared this had exposed Plaintiff, and expressed his displeasure with those risks. The email closes with a direct client instruction ("as of now our instructions to you, on behalf of your client and the insured") to negotiate a settlement of the case.

2 hours and 19 minutes after this email was forwarded to Mr. Alden, counsel for Plaintiff realized their mistake and sent a follow-up note, identifying the email by precise date and time and explaining that it contained privileged material. Counsel for Plaintiff asked Mr. Alden to delete the email and disregard the contents. Instead, Mr. Alden chose to submit the email as evidence in multiple

court filings and to quote from it in open court during a subsequent hearing.

The email Mr.

Alden received is clearly and on its face a privileged communication. It contains the legal impressions and analysis of in-house counsel, followed by a direct client instruction to outside counsel. Even a cursory review of the email would lead any reasonable counsel to believe that their ethical obligations under Rule 4.4 had been triggered, with or without any subsequent warning or request from opposing counsel. But in this case, a warning and a request for deletion was provided almost immediately. There could be no doubt that this was a privileged communication, which Mr. Alden was obligated to delete and disregard. Yet he did not.

(RJN, Ex. 2 at p. 3.)

Alden

continued representing the defendants in the Quiet Title Action (Plaintiffs, here) and even filed a first amended cross-complaint. Alden appealed the disqualification order and the Appellate Court affirmed. (Millea Decl., ¶ 12, RJN, Ex. 4.) The Appellate Court concluded:

. . . that the trial court properly granted

RJS's motion to disqualify the Alden firm. The forwarded e-mail obviously is protected by the attorney-client privilege and/or contains protected attorney work product. It is a communication between Marks and McClure, two attorneys representing RJS. It sets forth McClure's criticism of Marks's representation of RJS in this matter. And, McClure gives instructions to Marks to settle the case immediately. Upon receipt, Alden should have immediately notified RJS's attorneys that he received a confidential communication not intended for him or his clients.

(RJN, Ex. 4 at p. 12.)

The

Appellate Court referred the matter to the State Bar. (Id. at p. 15.)

Despite

being disqualified by the trial court, which was affirmed by the Court of Appeal, Alden continued to file applications, declarations, and motions in the quiet title action as counsel for the Romeros who, at that time, were

represented by other counsel, including the Carter Defendants. (Millea Decl., 13, Exs. 3, 8, 9.)

ii.

Petition Action

On November 13, 2024, Alden filed a petition, pursuant to Code of Civil Procedure

section 1714.10, seeking the court's permission to file the Complaint in the instant action against the Defendant attorneys and RJSI for civil conspiracy. (Mille Decl., ¶ 24, RJN, Ex. 13.)

On

August 12, 2025, the Petition court granted the petition. (Mille Decl., ¶ 25, RJN, Ex. 14.) The Petition court found that Plaintiffs established both that the requirements of Civil Code section 1714.10 do not apply to the allegations at hand and that Defendants' conduct falls within one of the exceptions delineated in section 1714.10. (Ibid.)

Prior

to granting the petition based on the inapplicability of section 1714.10, the court granted RJS' motion again disqualifying Alden as attorney for the Romeros. (Mille Decl., ¶ 26.) In its order disqualifying Alden, the court held that "[b]ased on Alden's egregious conduct and the factual overlap between this action and the Underlying [quiet title] Action, justice would not be served by now allowing Alden to yet again oppose RJS[I]. The fact that these cases were not deemed related is essentially irrelevant." (RJN, Ex. 15 at p. 3.)

Despite

the court's disqualification order, Alden continued to represent the Romeros in the Petition action by recording notices of lis pendens on their behalf. (Mille Decl., ¶ 27.)

iii.

Instant Action

Carter Defendants

now contend that Alden, who has been disqualified as counsel for Plaintiffs in

three underlying judicial proceedings, is continuing to represent Plaintiffs in the instant action, which arise from the same loan and property dispute involving the same parties (and their attorneys). The Court agrees.

The Court

acknowledges that the Court granted FRBC, McClure, RJS, RJSI and Gross' anti-SLAPP. (See Aug. 27, 2026 Order.) In that Order the Court noted that FRBC, McClure, RJS, RJSI and Gross in the Petition action also filed an anti-SLAPP motion, which was denied by the Petition court. (Ibid.) But this Court did not find that FRBC, McClure, RJS, RJSI and Gross filing an anti-SLAPP motion in the instant action to be a "relitigation" of the anti-SLAPP motion in the Petition action. (Ibid.) The Petition Court solely addressed whether Plaintiffs were permitted to file the instant complaint, which alleges a cause of action for conspiracy, while not even addressing the substantive allegations pertaining to the complaint filed in this action. (Ibid.)

However, the

Court's anti-SLAPP holding does not bar this Court from concluding that the underlying disqualification orders, from the Quiet Title Action, the Appellate Court, and the Petition Court, should be enforced. The fact that the Petition Court's anti-SLAPP holding did not address the substantive allegations in the instant complaint, instead merely holding that that the requirements of Civil Code section 1714.10 do not apply so Plaintiffs were free to file the instant complaint, does not mean that the Petition Action and the instant are not interrelated.

In *Militello v.*

VFARM 1509 (2023) 89 Cal.App.5th 602, 619 the Court of Appeal upheld disqualification in a subsequent action based on counsel's improper use of privileged communications in a separate proceeding, reasoning that "given their past improper use of confidential information allowing them to continue to represent [client] in this case would negatively affect the public's trust in both the scrupulous administration of justice and the integrity of the bar." (Citation omitted). Here too, the Court finds that Alden's continued representation of Plaintiffs in the instant action after he "has been provided with, and then used, improperly obtained confidential information would undermine the public's trust in the fair administration of justice and the integrity of the bar." (Id. at p. 622.)

The facts are

documented and undisputed. In the three separate proceedings wherein Alden was disqualified, in the Quiet Title Action, the Appellate Court, and the Petition Court, the parties remained the same, the underlying factual allegations remain the same, specifically concerning Romero's default on a 2019 loan that was secured by the real properties at issue in this action, and the same attorney was disqualified from representing the same parties (Plaintiffs here).

The Quiet Title

court in disqualifying Alden and the Appellate Court in the subsequent appeal of that order both unequivocally found Alden to be in violation of fundamental ethical duties regarding the handling of inadvertent disclosures of obvious attorney- client communications. The Appellate Court, for example, stated “[p]ursuant to well-settled legal authority and the California Rules of Professional Conduct, upon receipt of the e-mail, Alden should have immediately notified Marks, Alden should have deleted the e-mail, and Alden certainly should not have used it against RJS[!]. His ethical violations let the cat out of the bag, so to speak.” (RJN, Ex. 4 at p. 14.) The Appellate Court even referred Alden to the State Bar considering this misconduct. The Petition court then disqualified Alden, “[b]ased on Alden's egregious conduct and the factual overlap between this action” and the prior two orders in the Quiet Title Action and its subsequent appeal. (Id., Ex. 15 at p. 3.)

The Court agrees

and thus disqualifies Alden from representing Plaintiffs in the instant action. (See *Great Lakes Construction, Inc. v. Burman* (2010) 186 Cal.App.4th 1347, 1355 [“The important right to counsel of one's choice must yield to ethical considerations that affect the fundamental principles of our judicial process.” (Citation.)”].)

Even if the Court

were to consider Plaintiffs' opposition, Plaintiffs primarily dispute the validity of the three prior orders, such as arguing that the “the circumstances surrounding the email explain Alden's good-faith judgment.” (Opp. at p. 6.) The underlying facts that supported each of the three disqualification orders are simply irrelevant. What is before the Court is whether Alden shall be disqualified from continuing to represent Plaintiffs in the instant action after three prior court rulings ordering him to be disqualified from representing Plaintiffs in actions premised on the same facts.

Furthermore,

Plaintiffs also contend that the language of the three underlying orders do not reflect an outright prohibition of Aldren representing Plaintiffs in any dispute involving RJSL. (Id. at p. 9.) While Plaintiffs can be correct to an extent, that is simply not what is happening. As explained above, the Quiet Title Action and Petition Action concern the same underlying factual allegations present here.

As for Carter

Defendants' requests for an Order to Show Cause regarding whether Alden should be held in contempt for disobeying prior court orders; for an Order to Show Cause why monetary sanctions should not be imposed against Alden; and for a referral to the State Bar, the Court finds such requests to be premature at this stage.

V.

CONCLUSION

Based on the foregoing, Carter Defendants' motion is GRANTED in part. The Court hereby disqualifies attorney Nick A. Alden and the Law Offices of Nick A. Alden as Plaintiffs' counsel in this action. The Court otherwise DENIES Carter Defendants' request for an OSC re: Contempt.

Dated this 16th
day of September 2026

Hon. Gary D.
Roberts

Judge of the
Superior Court